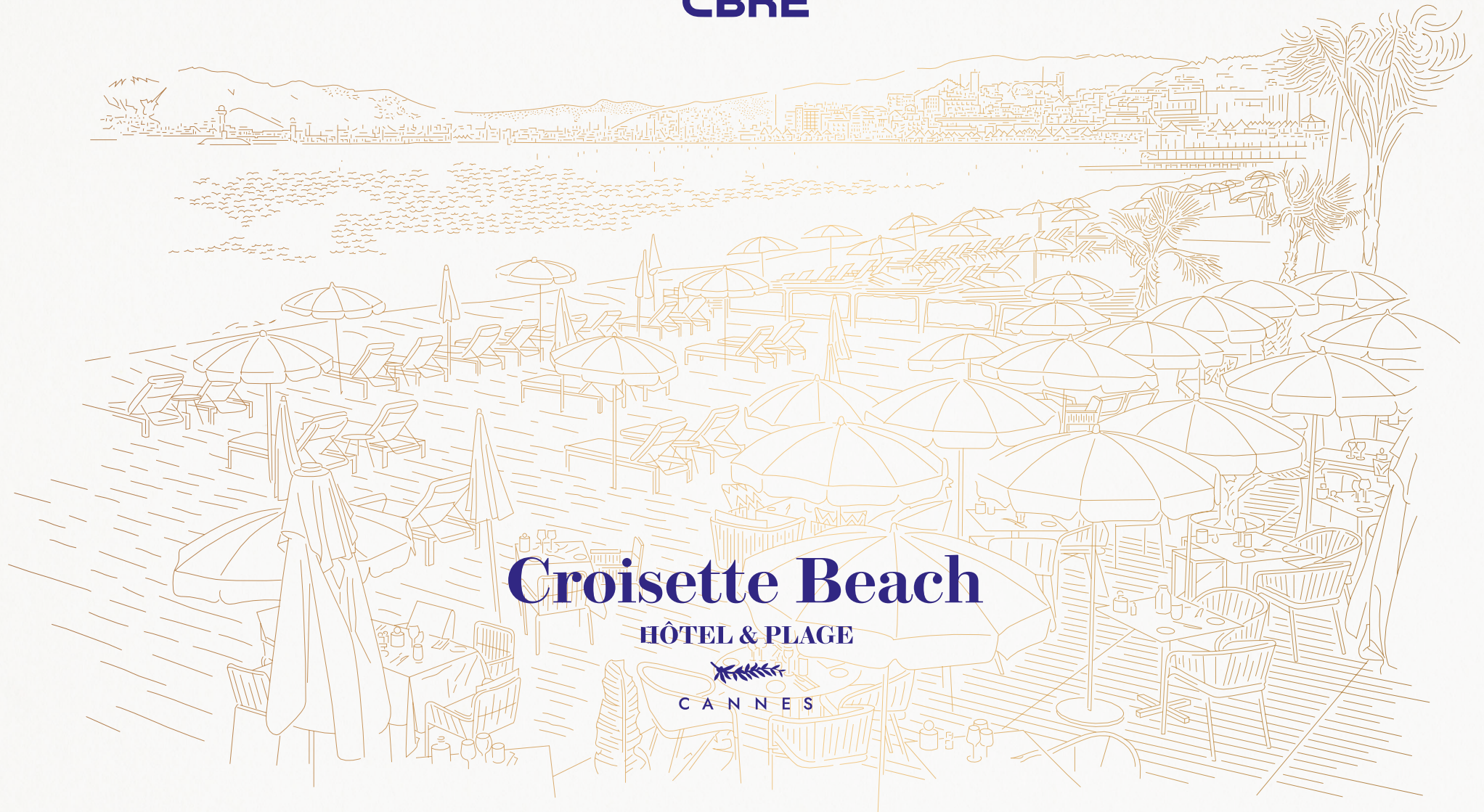


CBRE



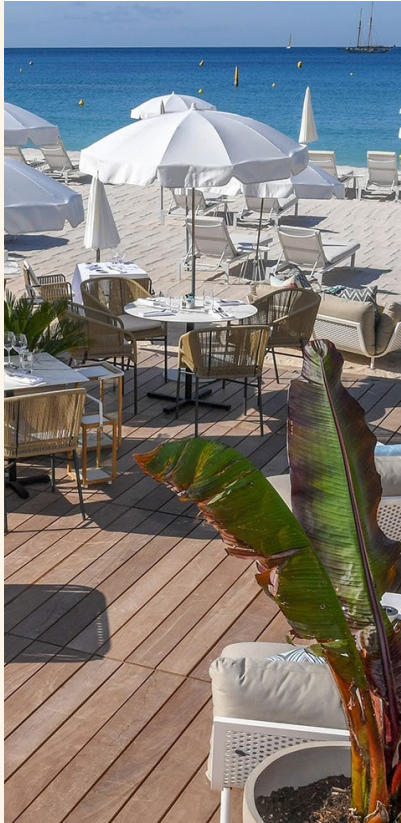
Croisette Beach

HÔTEL & PLAGE


CANNES


GALLERY
HOTEL COLLECTION

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1

EXECUTIVE SUMMARY

Introduction

CBRE have been appointed on an exclusive basis to advise on the sale of the Freehold Hotel interest of the MGallery Croisette Beach Cannes.

Currently operated under a management agreement with the Accor Group under the brand MGallery, this 4-star property comprises 94 guest rooms, a food and beverage area, 72 square meters of meeting space and leisure facilities including a heated swimming pool.

The scope of the sale also includes a private beach with a long-term lease granted by Cannes municipality with a 58-seat restaurant, a bar and 82 deck chairs. This outlet is also operated under a management contract with Accor Group.

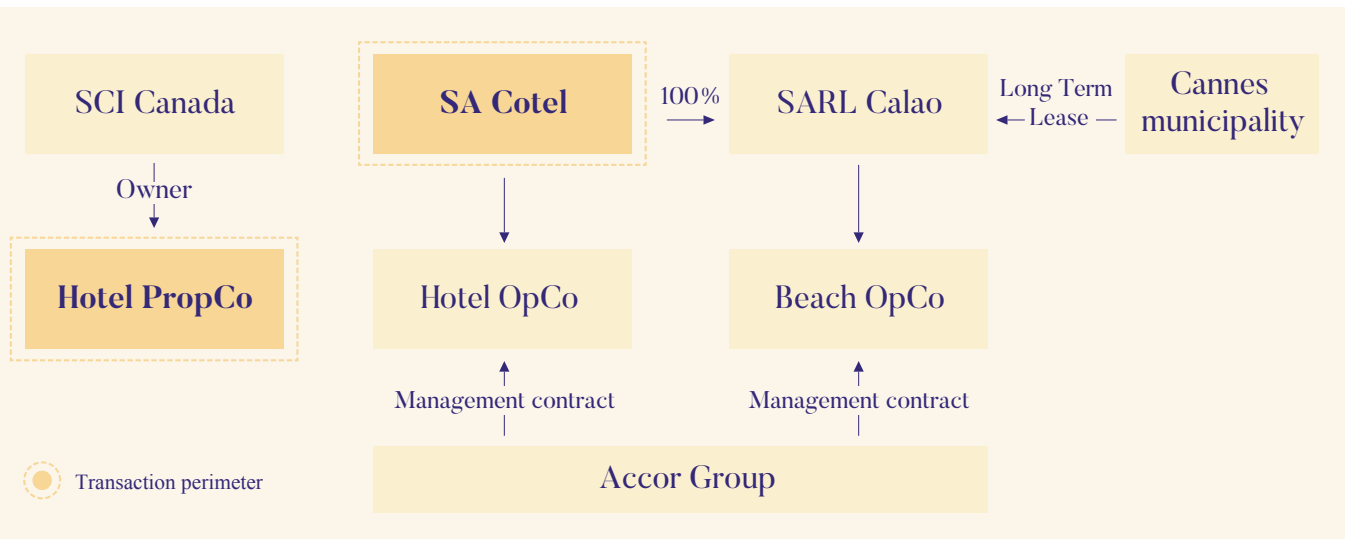
Just a stone's throw from the seafront and the Croisette Avenue, the Hotel is located in Cannes' Golden Triangle, surrounded by luxury boutiques and numerous demand generators.



Tenure and operating structure

The transaction consists of:

- * The sale of the entire share capital of the owning company SA Cotel, which directly owns business goodwill (Fonds de commerce) of the Hotel & the Beach (SARL Calao).
- * SARL Calao has been granted a long term lease by Cannes's municipality to operate the Beach. This lease will expire December 31st, 2029.
- * The sale of the Property owned by SCI Canada.



The Hotel is offered under a management agreement with Accor Group, providing the incoming investor steady cashflow thanks to the expertise of the first hotel operator in Europe

At a glance



Address

- * Hotel: 13 Rue du Canada - Cannes - France
- * Private Beach: 65 Boulevard de la Croisette - Cannes - France



Classification

- * Upscale / 4*



Tenure

- * Hotel - Freehold
- * Beach - Long Term Lease expiring December 31st, 2029



Operating structure

- * Management contract with Accor Group (Hotel & Private Beach) until December 31st, 2029



Opening / Last renovation

- * 1982
- * 2019



Guestrooms

- * 94 rooms and suites from 19 to 37 sqm (24 sqm on average)



F&B facilities

- * Breakfast room
- * Lounge bar
- * Croisette Beach restaurant



Others

- * Outdoor pool (heated)
- * Hot tub
- * Fitness room
- * Indoor & secured car park



Gross Floor Area (GFA)

- * 6,116 sqm / 65,832 sqft



Investment highlights



UNRIVALLED LOCATION

- * **The Hotel boasts an exceptional location**, in the heart of Cannes' Golden Triangle and in the **immediate vicinity of the Croisette** and its many boutiques and luxury hotels.
- * **The Hotel's private beach also benefits from an exceptional location** on the famous Croisette Beach.



EXCELLENT STATE OF REPAIR

- * The Asset underwent a **complete refurbishment between 2018 and 2019**, concomitant with the rebranding under the MGallery banner.
- * The work covered the **entire renovation of the building**, including public areas, patio, guest rooms and private beach.
- * The design was signed by **renowned architect Jean-Philippe Nuel**.



OPERATIONAL LEADERSHIP WITH ACCOR GROUP MGallery BRAND

- * **The Hotel and Private Beach are operated under a management contract with the Accor Group**, Europe's leading hotel group, under the premium MGallery brand until December 2029.
- * **As one of the few MGallery branded hotels on the French Riviera**, the Hotel is boosted by the Accor Group's distribution system and loyalty program with over 70M members worldwide.
- * **The contract has been renegotiated post covid with favorable conditions for the Owner.**



A POSITIVE TOURISM OUTLOOK ON THE FRENCH RIVIERA AND CANNES

- * The French Riviera registered a **record year for tourism in 2022**, with 12.1 million hotel room nights exceeding the previous record set in 2019.
- * Cannes confirms this general trend with a **"record-breaking summer 2022"**, with a **RevPAR of €376** during H1 2022, representing **an increase of 32% compared to H1 2019 performances**.
- * **With an exceptional first semester in 2023**, this year should follow the same path, **surpassing all expectations**.

An asset benefiting from the knowledge and impact of European leader Accor Group

+777,900
ROOMS

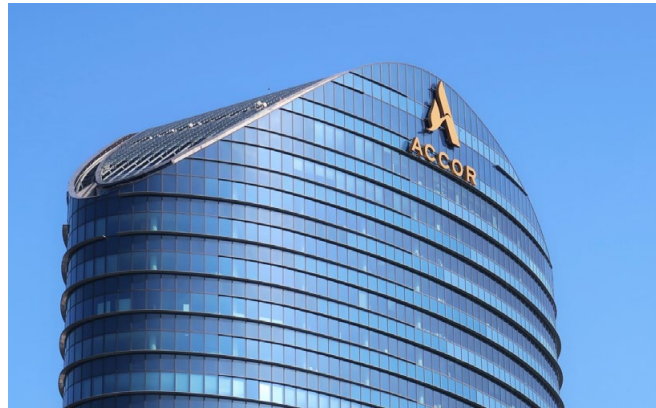
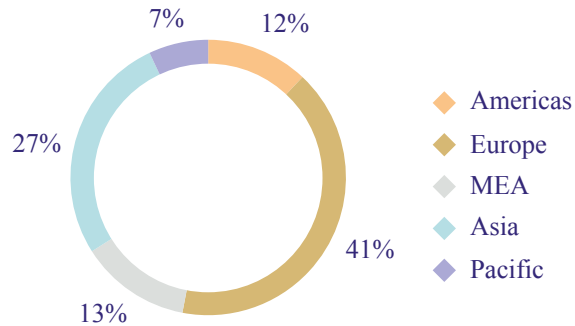
+5,300
HOTELS



+212,000
ROOMS IN PIPELINE

+1,230
HOTELS IN PIPELINE

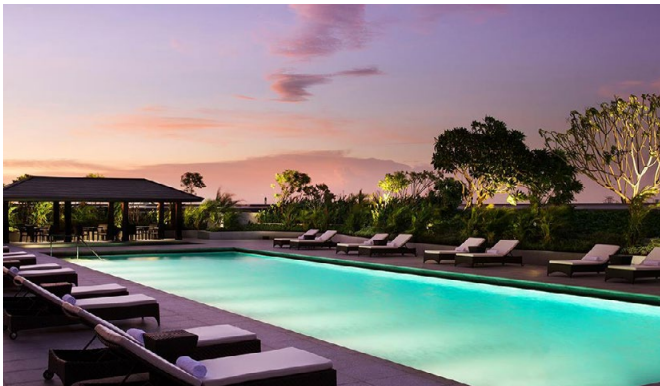
Accor Group | Global hotel operator*



Seventh hotel chain worldwide but **the first European operator in terms of rooms**, Accor Group is a French industry leader with a wide offer of 51 brands, including 40 hotel brands.

Accor Group is active on every single hotel segment and benefits from a stunning expertise thanks to its brands' solidity.

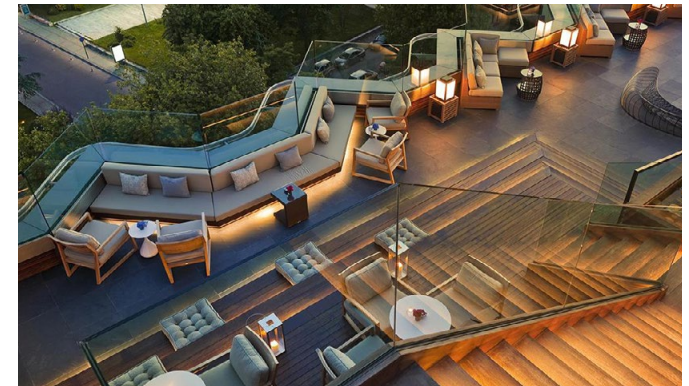
With a **total revenue of €4,0224M** and an **average worldwide RevPAR of €65.3 in 2022**, Accor has demonstrated its resilience and picked itself up quickly from the COVID-19 crisis.



Fairmont Jakarta



Sofitel Legend Santa Clara Cartagena



Swissôtel The Bosphorus Istanbul

*Values as of July 2022 / Source: Accor Group

MGallery: a selection of bespoke boutique hotels with one-of-a-kind designs

13,208
ROOMS

120
HOTELS



5,826
ROOMS IN PIPELINE

48
HOTELS IN PIPELINE

37 COUNTRIES

MGallery is an international boutique hotel collection created by Accor Group in 2008 covering all continents.

The uniqueness of each hotel reflecting the identity of their location has quickly allowed the brand to benefit from a solid reputation in the industry and is presented as the best-in-class boutique brand.

The MGallery concept relies on four distinctive pillars:

ROOTS

MGallery was the first collection of singular and memorable boutique hotels created by an international hotel group

VISION

We believe the soul of each hotel should connect to the heart of each guest

PURPOSE

Thrill the heart and mind of each guest, by revealing meaningful stories to be shared

AMBITION

Become the most beloved boutique hotel collection in the world for guests and owners



MGallery Harbour Rocks Hotel Sydney



MGallery Paris Molitor



Athens Capital Center